Personal Risk Management Plan

Chapter 11.1: Understanding and Managing Risk

Instructions for Creating Your Risk Management Plan

This document will help you develop a comprehensive personal risk management plan tailored to your specific circumstances. Follow these steps:

1. Complete each section of the plan with careful consideration of your unique situation
2. Be specific about risks, strategies, and action steps
3. Create a realistic implementation timeline
4. Identify key resources and contacts
5. Commit to reviewing and updating your plan periodically

To save as PDF: Use File → Print, then select "Save as PDF" as the destination.

Section 1: Personal Risk Inventory

Identify the specific risks you face in each category. Be as detailed as possible.

Personal Risks

These involve threats to your health, life, or ability to earn income.

Property Risks

These involve potential damage, destruction, or theft of your possessions.

Liability Risks

These involve legal responsibility for harm to others.

Financial Risks

These involve potential monetary losses.

Section 2: Risk Analysis and Prioritization

Analyze your identified risks by likelihood, potential impact, and overall priority.

Risk Description	Category	Likelihood (1-5)	Impact (1-5)	Priority (L×I)

Top Three High-Priority Risks:

1.

2.

3.

Section 3: Risk Management Strategy Selection

For each of your high-priority risks, determine the most appropriate management strategy or combination of strategies.

Risk Description	Management Strategy	Specific Actions	Resources Needed
	Select...		
	Select...		
	Select...		
	Select...		
	Select...		

Section 4: Insurance Planning

Identify the types of insurance you need now or in the near future based on your risk assessment.

Insurance Type	Current Status	Recommended Coverage	Estimated Cost	Notes/Provider
Auto Insurance	Select...			
Homeowners/Renters	Select...			
Health Insurance	Select...			
Life Insurance	Select...			
Disability Insurance	Select...			
Other Insurance: Specify...	Select...			

Insurance Notes and Considerations:

Section 5: Emergency Fund Planning

Based on your risk assessment, determine your emergency fund target and plan.

Current Emergency Fund Status:

Current emergency fund amount: $ Amount

Current emergency fund covers: Select...

Emergency Fund Target:

Target emergency fund amount: $ Amount

Target number of months covered: Select...

Reasoning for Emergency Fund Target:

Plan to Reach Target:

Monthly contribution amount: $ Amount

Estimated timeline to reach target: Timeline

Section 6: Implementation Timeline

Immediate Actions (Next 30 days)

Short-Term Actions (1-3 months)

Medium-Term Actions (3-12 months)

Long-Term Actions (Beyond 12 months)

Section 7: Important Contacts and Resources

Insurance Agent/Broker

Name:

Phone:

Email:

Company:

Financial Advisor

Name:

Phone:

Email:

Company:

Emergency Contact

Name:

Relationship:

Phone:

Email:

Other Important Contact

Name:

Relationship/Role:

Phone:

Email:

Additional Resources and References:

Section 8: Plan Review and Updates

Set a schedule for reviewing and updating your risk management plan.

Review Schedule:

- First review date: mm/dd/yyyy
- Review frequency: Select...

Life Events Triggering Review:

Commitment Statement

I commit to implementing this risk management plan to protect my financial well-being. I understand that effective risk management is an ongoing process that requires regular review and updates.

Signature: _____

Date: _____

© 2025 PFL Academy. All rights reserved.